

410(b) COVERAGE TEST

A retirement plan, as a condition of qualification must satisfy coverage rules. The plan in general must benefit at least 70% of the includible Nonhighly Compensated Employees. Each contribution source (employee deferrals, employer match, and employer discretionary, money purchase contribution) must be tested separately. Corrections are required for each source that does not pass the 70% benefit test.

COMPENSATION TESTING (414(s))

A plan that utilizes a definition of compensation that does not automatically satisfy IRC Section 414(s) is required to test the compensation definition to show that it does not discriminate in favor of the highly compensated employees. Plans with Highly Compensated Employees that exclude bonuses, overtime, and/or commissions from their definition of compensation are required to pass this test. Additional exclusions can also result in the need to perform this test.

BENEFITS, RIGHTS AND FEATURE TESTING (401(a)(4))

Plans that provide benefits or features of different levels or types, for different groups of employees are required to show that each Benefit, Right and Feature (BRF) is available to all employees on a nondiscriminatory basis. Each BRF must satisfy two nondiscrimination requirements. The first requirement is the Current Availability Test and the Nondiscriminatory Classification Test. These tests pass if they do not favor the Highly Compensated Employees. The second requirement is for Effective Availability. This is an anti-abuse provision that requires that the group of employees to whom a BRF is effectively available must not substantially favor Highly Compensated Employees. If your plan requires this type of testing, additional information will be provided.